1 RUN THE MODEL



Results

2 DEVIATION REPORT



Deviations

3 DIAGNOSIS

A produces too little.
Possible causes:

- Its cost is too high
- Its capacity is too low
- Market power (the analyst's call)

Proposal: Lower A's cost one step, because the gap is large.

A change

4 CHECK, APPLY, LOG



Calibration log	
Run 5	D's capacity raised
Run 6	B's cost raised
Run 7	C's cost lowered
Run 8	**A's cost lowered**

Next run

Follows the log

THE ANALYST

- Corrects a diagnosis
- Picks between equal fits
- Keeps market power
- Accepts the fit

Becomes a lesson

WHAT THE AGENT READS



Lessons



Heuristics